

WHEN PERSONALIZATION DETERS DELEGATION TO ALGORITHMS: EVIDENCE FROM A PREREGISTERED EXPERIMENT*

Irenaeus Wolff[†]

Lara Suraci

*Thurgau Institute of Economics
(TWI) / University of Konstanz*

DG Cities

This version: 29th June, 2026

Abstract

Algorithmic decision aids increasingly act on users' behalf, and in many instances users can either retain control or delegate decisions to an algorithm altogether. We test whether preference-based personalization increases or decreases willingness to delegate compared with an objective optimization criterion. In a preregistered between-subjects experiment (N = 233), participants repeatedly chose whether to decide themselves or to delegate to an algorithm. In one treatment, the delegation option is an optimization-based algorithm selecting the option with the highest expected value. In the other treatment, it is a preference-based (personalized) algorithm selecting according to participants' previously elicited preferences. We find no evidence that preference-based personalization increases delegation relative to expected-value optimization throughout the task. Instead, personalization deters delegation in two ways. First, at first contact participants are significantly less likely to delegate to the preference-based algorithm than to the optimization-based algorithm; in subsequent decisions, delegation rates are statistically indistinguishable across algorithm types. Second, categorical non-delegation (never delegating) is substantially more prevalent under preference-based personalization (15.7%) than under objective optimization (3.4%). All in all, our results are consistent with the idea that preference-matching can raise initial hesitation and heighten concerns about personal autonomy and decision control for a subset of users, functioning as an acceptance barrier even when personalization is normatively appealing.

Keywords: AI delegation, human-AI delegation, personalization, algorithm appreciation, algorithm aversion, trust in AI, financial decision-making, preregistered experiment.

*We are grateful to all the many people who helped us write this paper, first and foremost Chris Starmer and Robin Cubitt, to whom we owe several aspects of the design, as well as the lively research group at the TWI and participants of numerous workshops and conferences.

[†]Corresponding author. Thurgau Institute of Economics, Hafenstrasse 6, 8280 Kreuzlingen, Switzerland, wolff@twi-kreuzlingen.ch.